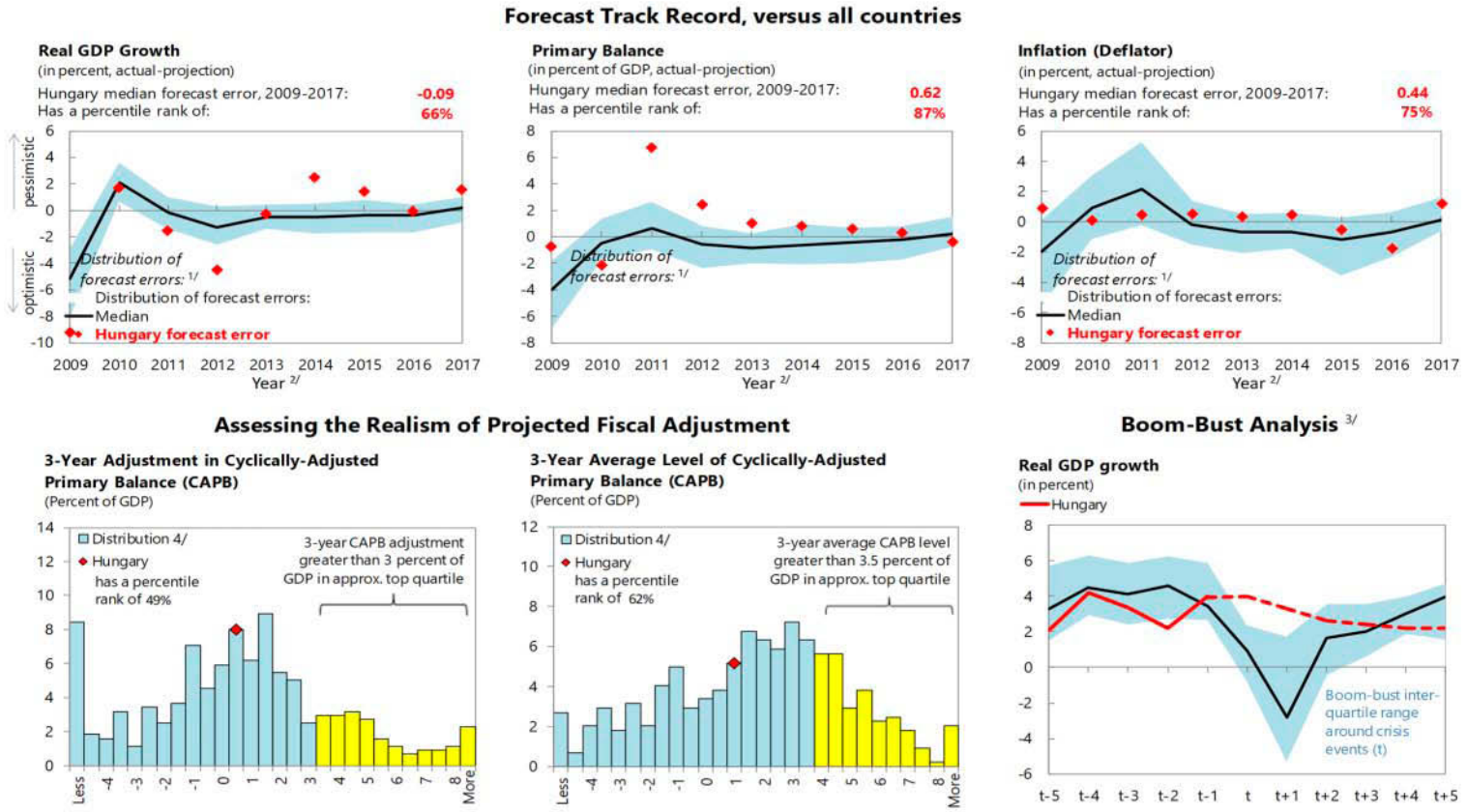
Figure 2. Hungary Public DSA - Realism of Baseline Assumptions



Source : IMF Staff.
1/ Plotted distribution includes all countries, percentile rank refers to all countries.
2/ Projections made in the spring WEO vintage of the preceding year.
3/ Hungary has had a cumulative increase in private sector credit of 80 percent of GDP, 2014-2017. For Hungary, t corresponds to 2018; for the distribution, t corresponds to the first year of the crisis.
4/ Data cover annual obervations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP. Percent of sample on vertical axis.

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Figure 3. Hungary Public Sector Debt Sustainability Analysis (DSA) - Baseline Scenario

(In percent of GDP, unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

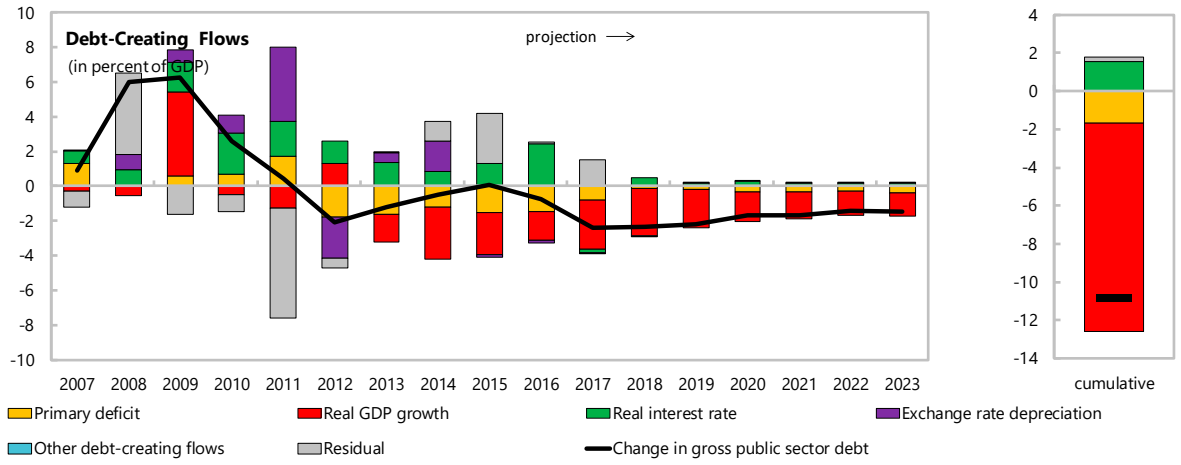
	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt	75.9	76.0	73.6	71.2	69.0	67.3	65.7	64.2	62.8
Public gross financing needs	21.2	16.4	8.4	17.2	15.8	15.2	20.4	21.2	20.9
Real GDP growth (in percent)	0.6	2.2	4.0	4.0	3.3	2.6	2.4	2.2	2.2
Inflation (GDP deflator, in percent)	3.4	1.0	3.7	2.8	3.0	3.0	3.0	3.0	3.0
Nominal GDP growth (in percent)	4.0	3.2	7.8	6.9	6.4	5.7	5.5	5.3	5.3
Effective interest rate (in percent) [4/]	5.8	4.3	4.0	3.7	3.4	3.5	3.4	3.4	3.4

As of May 15, 2018

Sovereign Spreads		
EMBIG (bp) 3/		115
5Y CDS (bp)		90
Ratings	Foreign	Local
Moody's	Baa3	Baa3
S&Ps	BBB-	BBB-
Fitch	BBB-	BBB-

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	1.4	-0.7	-2.4	-2.4	-2.2	-1.7	-1.7	-1.4	-1.5	-10.8	
Identified debt-creating flows	1.6	-0.8	-3.9	-2.4	-2.2	-1.7	-1.7	-1.5	-1.5	-11.0	
Primary deficit	-0.2	-1.5	-0.8	-0.1	-0.2	-0.3	-0.4	-0.3	-0.4	-1.7	-1.2
Primary (noninterest) revenue and grants	45.4	44.8	44.5	45.5	45.2	44.6	43.5	43.1	42.7	264.5	
Primary (noninterest) expenditure	45.2	43.3	43.7	45.4	45.0	44.2	43.1	42.8	42.4	262.8	
Automatic debt dynamics [5/]	1.8	0.6	-3.1	-2.2	-2.0	-1.4	-1.3	-1.2	-1.2	-9.3	
Interest rate/growth differential [6/]	1.0	0.8	-3.0	-2.2	-2.0	-1.4	-1.3	-1.2	-1.2	-9.3	
Of which: real interest rate	1.4	2.4	-0.2	0.5	0.2	0.3	0.2	0.2	0.2	1.6	
Of which: real GDP growth	-0.4	-1.6	-2.8	-2.8	-2.2	-1.7	-1.5	-1.4	-1.3	-10.9	
Exchange rate depreciation [7/]	0.8	-0.2	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
(negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroarea loans)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	-0.2	0.1	1.5	0.0	0.0	0.0	0.0	0.0	0.0	0.2	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

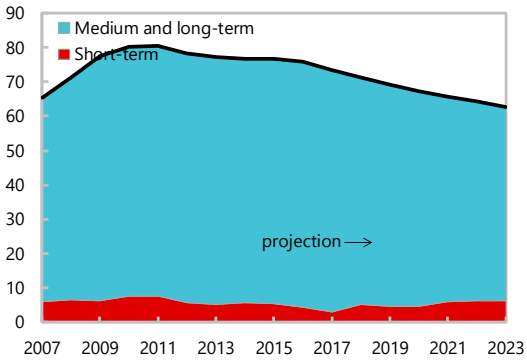
9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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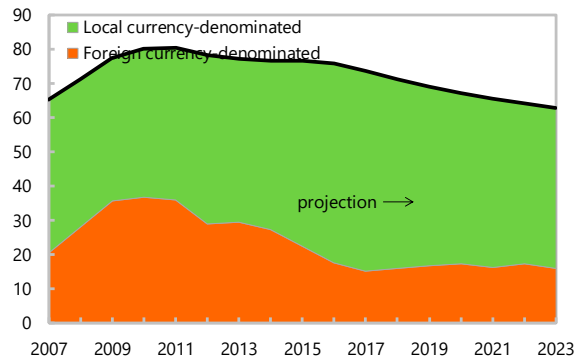
Figure 4. Hungary Public DSA – Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

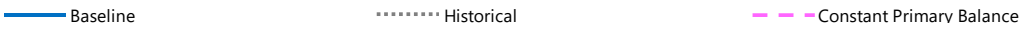
By Maturity
(in percent of GDP)



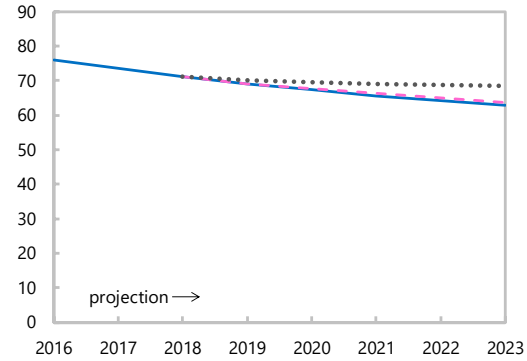
By Currency
(in percent of GDP)



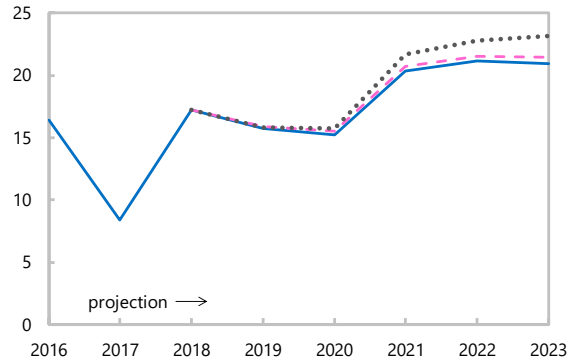
Alternative Scenarios



Gross Nominal Public Debt
(in percent of GDP)



Public Gross Financing Needs
(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	4.0	3.3	2.6	2.4	2.2	2.2
Inflation	2.8	3.0	3.0	3.0	3.0	3.0
Primary Balance	0.1	0.2	0.3	0.4	0.3	0.4
Effective interest rate	3.7	3.4	3.5	3.4	3.4	3.4
Constant Primary Balance Scenario						
Real GDP growth	4.0	3.3	2.6	2.4	2.2	2.2
Inflation	2.8	3.0	3.0	3.0	3.0	3.0
Primary Balance	0.1	0.1	0.1	0.1	0.1	0.1
Effective interest rate	3.7	3.4	3.5	3.4	3.4	3.4

Historical Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	4.0	1.1	1.1	1.1	1.1	1.1
Inflation	2.8	3.0	3.0	3.0	3.0	3.0
Primary Balance	0.1	0.5	0.5	0.5	0.5	0.5
Effective interest rate	3.7	3.4	3.9	4.0	4.4	4.5

Source: IMF staff.

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